

Contoso Corp Retirement Savings Plan Guide

Plan Overview

The Contoso Retirement Savings Plan is a 401(k)-style defined contribution plan administered by a third-party recordkeeper, offering a range of index and target-date fund options.

Eligibility and Enrollment

All employees are eligible to enroll starting on their first day of employment. Employees who do not actively enroll are automatically defaulted into the plan at a 3% contribution rate beginning on their 60th day, unless they opt out.

Contribution Limits

Employees may contribute up to the annual IRS elective deferral limit through pre-tax or Roth payroll deductions. Contribution elections can be changed at any time through the recordkeeper's website, effective the following pay period.

Company Matching Contributions

Contoso matches 100% of the first 4% of eligible pay that an employee contributes, deposited each pay period rather than as a single annual lump sum.

Vesting Schedule

Employee contributions are always fully vested. Company matching contributions vest over 3 years on a graded schedule: 33% after one year of service, 66% after two years, and 100% after three years.